KANPUR I-T RAIDS

ON THE BLACK SCENT TRAIL

By Ashish Misra



It looked like a scene from the Ajay Devgn movie *Raid*, just that it was happening 80 km from Lucknow, in Kanpur. On December 23, a team of the Directorate General of GST Intelligence (DGGI), Ahmedabad, raided the house of Piyush Jain in the city's Anandpuri locality. Piyush, 51, is a manufacturer of chemical compounds used for flavouring in the pan masala industry. The DGGI officials had raided the house as part of a swoop on gutka manufacturers in a tax evasion case, when they realised that some of the walls were not quite aligned with the structure of the 3,000-plus sq ft mansion. In fact, they felt hollow.

When the walls were broken down, bundles of currency notes, packed in paper and polythene, tumbled out. Soon, there were so many bundles that officials had to requisition 17 counting machines to invoice the evidence. Eighty steel boxes and a container were needed to shift the money. The final tally: Rs 177.45 crore in cash. Another Rs 17 crore in cash, along with 23 kg of gold and sandalwood oil worth Rs 6 crore, were recovered from the family's ancestral house on Jain Street in Chhippatti, Kannauj. Piyush was arrested under Sections 132(1) of the IPC and 69 of the Central GST Act. Sources at the Central Board of Indirect Taxes and Customs (CBIC) say the seizure could be a record for the agency.

Indian Revenue Service officer Vivek Prasad, currently with the DGGI, is reportedly the brain behind the successful operation. Prasad had in 2019 exposed the Rs 400 crore ITC (input tax credit) scam in Gujarat's Kandla Port. He had earlier done stints in Kanpur and Lucknow and was quite familiar with the goings-on in the pan masala business.

It all started about two months ago when DGGI officials intercepted four trucks carrying illegal pan masala consignments in Ahmedabad. A commercial tax officer posted in Kanpur says, "The investigation revealed that the 'Shikhar' pan masala consignment belonged to Trimurti Fragrances Private Ltd." Prasad alerted the GST officials in Kanpur. The DGGI Ahmedabad team reached Kanpur on December 22, met up with local officers and after the necessary permissions, raided the premises of Trimurti Fragrance Pvt Ltd, the makers of Shikhar Pan Masala. It was during this raid that the investigation team got information about Piyush Jain, who supplied the "essence" for the pan masala.

So is Kanpur becoming a black money haven? Deepak Tomar, a local lawyer who specialises in commercial tax cases, says, "There is a 28 per cent tax levied on pan masala, including central and

₹194.5
CRORE
Cash seized from the homes of Piyush Jain, an 'essence' maker for Kanpur's pan masala industry

₹15
LAKH
Income shown by Jain in his I-T returns for 2019-20